

Behavior Shifts

Companies selling to consumers will do well as long as the behavior of the consumer remains constant. Once the behavior changes, new companies enter the market and start doing well old ones struggle. In such a situation, we may have a lot of questions to investigate.

In general, we will prefer companies or industries where consumer behavior does not change drastically in the short run. For instance, not a lot changes with the hair oil industry. But there are many behaviour changes when it comes to consumer social platforms.

Industry research questions:

What's the market size?

How is the company expected to develop?

Is the user behavior changing?

What are the industry-specific risks?

Are the other industry players doing well?

Is the market stable?

Is the Industry healthy?



What is the industry outlook for the next 5 or more years?

How big can a company grow within the same market?

Note Institutional investors will devote significant time to understand customer segments, value propositions, and competing industries. However, as retail investors, we will focus on four factors and stick to them. In most cases, it will lead to good industries which will create good returns for ourselves.

So far, we have covered the company's products and services, and understood its environment along with the industry in which it operates. Next, we will understand about the competitive position of the company.